INCREMENTAL AND ZERO-BASED

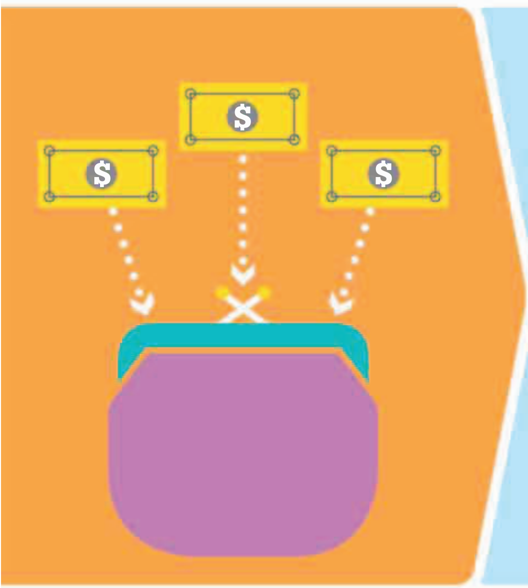
There are two main approaches to setting budgets:

Incremental budget The budget for the year ahead is based on the previous year's budget. This budget takes into account any changes, such as inflation, which could have an impact on the new calculations. The downside is that previous inaccuracies may be carried forward.

Zero-base budget The coming year's budget starts afresh, with no reference to previous years. This means that each item entered into the budget is carefully scrutinized and has to be justified by the department managers. This method makes it easier to see the full cost of all planned changes.

NEED TO KNOW

- **Planning, Programming, and Budgeting Systems (PPBS)** A budgeting system used in public service organizations such as city councils and hospitals
- **Virement** An amount saved under one cost heading in a budget is transferred to another cost heading to compensate for overspend
- **Budget slack** Deliberately underestimating sales or overestimating expenses in a budget

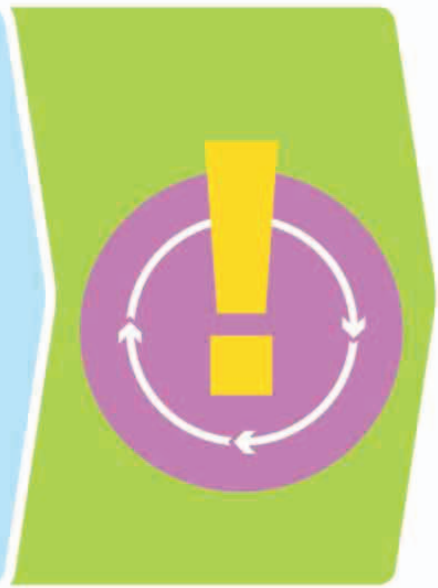


Master budget

Once approved, the budgets from each department are combined into a master budget for the year, which includes: a budgeted profit-and-loss account, a projected balance sheet, and a budgeted cash-flow statement that typically shows a month-by-month breakdown.

Measure performance

After each month (or equivalent time period set in the budget), the actual figures realized by the company are compared with the original budget projections. Variations are examined closely to work out whether they are significantly different from the figure in the original budget.



Take action

If necessary, the budget is revised to take into account any unforeseen and continued expenditure, or any savings that were not anticipated. If income is less than expected, action may be taken to alter departmental processes or campaigns in order to reach the targets set in the budget.